



Constitution of
Blackbox Tech Pty Ltd
ACN 664 919 975

(January 2023)

Contents

1	Introduction	<u>1</u>
	1.1 Name	<u>1</u>
	1.2 Replaceable rules displaced	<u>1</u>
	1.3 Corporations Act	<u>1</u>
2	Company's powers and restrictions	<u>1</u>
	2.1 Company's powers.	<u>1</u>
	2.2 Restrictions	<u>2</u>
3	Shares in the Company	<u>2</u>
	3.1 Control of issue of shares	<u>2</u>
	3.2 Classes of shares.	<u>2</u>
	3.3 Ordinary shares	<u>3</u>
	3.4 Preference and redeemable shares.	<u>3</u>
	3.5 Variation of class rights	<u>4</u>
	3.6 Conversion of shares	<u>4</u>
	3.7 Reduction of share capital	<u>4</u>
	3.8 Power to buy back shares	<u>5</u>
	3.9 Calls on partly paid shares.	<u>5</u>
	3.10 Notice of a call	<u>5</u>
	3.11 Failure to pay a call	<u>6</u>
	3.12 Amounts in advance of a call	<u>6</u>
	3.13 Recovery for calls.	<u>6</u>
	3.14 Procedure for forfeiture	<u>7</u>
	3.15 Member notified of forfeiture	<u>7</u>
	3.16 Consequences of forfeiture	<u>7</u>
	3.17 Evidence of forfeiture	<u>8</u>
	3.18 Transfer of forfeited share	<u>8</u>
	3.19 Application of forfeiture provisions	<u>8</u>
	3.20 Surrender of shares	<u>9</u>
	3.21 Right to lien	<u>9</u>
	3.22 Sale of shares the subject of lien	<u>9</u>
	3.23 Imposition of a liability and lien	<u>10</u>
	3.24 Joint holders.	<u>11</u>
	3.25 Brokerage or commission	<u>12</u>
	3.26 Threshold Shareholders.	<u>12</u>
4	Title to, transfer and transmission of shares	<u>13</u>
	4.1 Entitlement to share certificates	<u>13</u>
	4.2 Replacement certificates	<u>13</u>
	4.3 Recognition of ownership.	<u>14</u>
	4.4 Transfer of shares	<u>14</u>
	4.5 Registration of transfers – procedure	<u>14</u>
	4.6 Registration of transfers – Directors' discretion	<u>15</u>
	4.7 Transmission of shares	<u>15</u>

5	Drag and tag along rights	<u>16</u>
	5.1 Drag along rights	<u>16</u>
	5.2 Tag along rights	<u>18</u>
6	Loans to Members	<u>20</u>
7	Dividends and reserves	<u>20</u>
	7.1 Entitlement to dividends	<u>20</u>
	7.2 Payment of dividends	<u>21</u>
	7.3 Manner of payment of dividends	<u>21</u>
	7.4 Deductions from dividends	<u>21</u>
	7.5 Unclaimed dividends	<u>21</u>
	7.6 Change decision to pay dividend	<u>21</u>
	7.7 Crediting of dividends	<u>22</u>
	7.8 Dividends where different classes of shares	<u>22</u>
	7.9 Payment of dividends on transmission	<u>22</u>
	7.10 Payment of dividends by asset distribution	<u>22</u>
	7.11 Power to apply reserves	<u>23</u>
8	Capitalisation of profits	<u>23</u>
9	Directors' powers, dealings and delegates	<u>24</u>
	9.1 Continuing Directors	<u>24</u>
	9.2 Number of Directors	<u>24</u>
	9.3 Directors' powers	<u>24</u>
	9.4 Borrowing and other powers	<u>25</u>
	9.5 Directors' reporting and disclosure obligations	<u>25</u>
	9.6 Negotiable instruments	<u>27</u>
	9.7 Appointment of attorney	<u>27</u>
	9.8 Delegation	<u>27</u>
	9.9 Committee of Directors	<u>27</u>
10	Appointment, removal and resignation of Directors	<u>28</u>
	10.1 Appointment of Directors	<u>28</u>
	10.2 Resignation or retirement of Director	<u>29</u>
	10.3 Removal of Directors	<u>29</u>
	10.4 Vacation of office of Director	<u>29</u>
	10.5 When appointment or retirement takes effect	<u>29</u>
11	Remuneration of Directors	<u>30</u>
	11.1 Payment of remuneration	<u>30</u>
	11.2 Payment of superannuation contributions	<u>30</u>
	11.3 Payment of expenses	<u>30</u>
	11.4 Payment for extra services	<u>30</u>
	11.5 Loans to Directors	<u>30</u>
	11.6 Information about Directors' remuneration	<u>31</u>
	11.7 Effect of cessation of office	<u>31</u>
12	Managing Director	<u>31</u>
	12.1 Appointment	<u>31</u>
	12.2 Powers of Managing Director or executive officer	<u>32</u>
	12.3 Temporary appointments	<u>32</u>

12.4	Withdrawal of appointment or powers	<u>32</u>
12.5	Qualifications	<u>32</u>
12.6	Remuneration.	<u>32</u>
13	Alternate Directors	<u>32</u>
13.1	Appointment of Alternate Director	<u>32</u>
13.2	Power to act as alternate for more than 1 Director.	<u>33</u>
13.3	Rights and powers of Alternate Director.	<u>33</u>
13.4	Suspension or revocation of appointment	<u>33</u>
13.5	Termination or resignation of appointment.	<u>33</u>
13.6	Form of appointment, suspension, revocation or resignation.	<u>33</u>
14	Directors' meetings and resolutions	<u>34</u>
14.1	Meetings of Directors	<u>34</u>
14.2	Calling Directors' meetings.	<u>34</u>
14.3	Notice of meeting	<u>34</u>
14.4	Waiver of notice	<u>34</u>
14.5	Technology meeting of Directors	<u>34</u>
14.6	Quorum	<u>35</u>
14.7	Chairing Directors' meetings	<u>35</u>
14.8	Passing of Directors' resolutions	<u>36</u>
14.9	Circulating resolutions	<u>36</u>
15	Directors' interests	<u>36</u>
15.1	Prohibition on being present or voting	<u>36</u>
15.2	Directors' interests	<u>36</u>
15.3	Material personal interest - Director's duty to disclose	<u>38</u>
15.4	Director may give standing notice about a material personal interest	<u>38</u>
15.5	Wholly owned subsidiary	<u>39</u>
16	Members' meetings and resolutions	<u>39</u>
16.1	Calling a general meeting.	<u>39</u>
16.2	Technology meeting.	<u>39</u>
16.3	Amount of notice of meeting	<u>39</u>
16.4	Persons entitled to notice of general meeting	<u>40</u>
16.5	Notice upon transmission.	<u>40</u>
16.6	How notice is given	<u>40</u>
16.7	When notice is given	<u>41</u>
16.8	Period of notice	<u>41</u>
16.9	Contents of notice	<u>42</u>
16.10	Accidental omission to give notice	<u>42</u>
16.11	Adjournment of general meeting	<u>42</u>
16.12	Quorum	<u>43</u>
16.13	Chair at general meetings	<u>43</u>
16.14	General conduct.	<u>44</u>
17	Member decisions of 1 Member company	<u>45</u>
18	Circulating resolutions of Members.	<u>45</u>
19	Matters requiring unanimous resolution of Members	<u>45</u>
19.1	Amending the constitution	<u>45</u>

19.2	Appointment of Controller	45
19.3	Merger with another company	46
19.4	Change of name.	46
20	Voting at meetings of Members	46
20.1	How many votes a Member has.	46
20.2	Restriction on voting for unpaid calls	46
20.3	Jointly held shares	46
20.4	Objections to right to vote	47
20.5	Voting carried out by show of hands	47
20.6	A poll may be demanded	47
20.7	When and how polls must be taken	48
20.8	Voting rights under transmission rule.	48
21	Proxies, attorneys and body corporate Representatives	48
21.1	Who can appoint and be a proxy	48
21.2	Validity of appointment.	48
21.3	How a proxy may vote	49
21.4	Proxy is blank.	50
21.5	Receipt of proxy documents, powers of attorney or other authority	50
21.6	Validity of proxy vote	51
21.7	Body corporate Member Representative	51
22	Corporate secretarial matters	52
22.1	Secretary	52
22.2	Appointment of Secretary.	52
22.3	Terms of office of Secretary.	52
22.4	Minutes to be kept	52
22.5	Rights of inspection and access.	53
22.6	Common seal.	54
22.7	Execution of documents without common seal	54
22.8	Execution of document as a deed	54
22.9	Execution – general	54
22.10	Confidential information	55
23	Indemnity and insurance.	55
23.1	Indemnity	55
23.2	Insurance	55
24	Winding up	56
25	Notices	56
25.1	Notices other than notices of	56
26	Inadvertent omissions.	56
27	Definitions and interpretation	57
27.1	Definitions	57
27.2	Interpretation	58
	Schedule 1 Classes of Shares	59

1 Introduction

1.1 Name

This is the constitution of Blackbox Tech Pty Ltd ACN 664 919 975, a proprietary company limited by shares.

1.2 Replaceable rules displaced

The replaceable rules contained in the Act do not apply to the Company.

1.3 Corporations Act

- (a) Nothing in this constitution is intended to derogate from the Act and all provisions in this constitution are subject to the Act.
- (b) To the extent that a rule in this constitution is inconsistent with the Act (if, for example, the Act is amended after this constitution comes into effect) then this constitution is taken to be amended so that it is consistent with the Act.

2 Company's powers and restrictions

2.1 Company's powers

- (a) The Company has all the powers of a natural person.
- (b) The Company's powers may be exercised by the Directors, unless the Act or this constitution requires the Members to exercise a power at a general meeting.
- (c) The Company's powers includes the power to:
 - (i) issue and cancel shares, including bonus shares, redeemable or non-redeemable preference shares, and partly paid shares;
 - (ii) issue debentures of the Company;
 - (iii) grant options over unissued shares;
 - (iv) distribute the Company's property among members, whether in kind or otherwise;
 - (v) give security by charging uncalled capital of the Company;
 - (vi) grant a fixed or floating charge over the Company's property;
 - (vii) obtain the registration or recognition of the Company as a body corporate in any other jurisdiction; and

(viii) do anything it may lawfully do in any jurisdiction.

2.2 Restrictions

- (a) The Company must not have more than 50 non-employee Members. For this purpose:
 - (i) joint holders of a parcel of shares are counted as 1 person; and
 - (ii) an employee Member is:
 - (A) a Member who is an employee of the Company or of a Subsidiary; or
 - (B) Member who was an employee of the Company, or of a Subsidiary, when they became a Member.
- (b) The Company must not engage in any activity that would require the lodgement of a disclosure document (such as a prospectus) under Chapter 6D of the Act.
- (c) Rule 2.2(b) does not apply to an offer of shares to:
 - (i) existing Members of the Company; or
 - (ii) employees of the Company or a Subsidiary.

3 Shares in the Company

3.1 Control of issue of shares

- (a) The Directors may issue shares in the Company to persons at times, and on any conditions they think fit (including attaching preferred, deferred or other special rights or restrictions to the shares), subject to:
 - (i) preserving any special rights conferred on holders of existing shares; and
 - (ii) this constitution.
- (b) The Directors may grant to any person (including any Director, officer or employee of the Company or a Related Body Corporate of the Company) options, or other securities with rights of conversion to shares, for any consideration and for any period.

3.2 Classes of shares

The Directors may issue shares, subject to rule 3.1, in any of the following classes:

- (a) ordinary shares; and
- (b) such other classes of shares as are approved in accordance with this constitution and the Act from time to time. On establishment of the Company, the Directors have resolved that the Company may issue the classes of shares in Schedule 1.

3.3 Ordinary shares

All shares of the Company which are not issued upon special terms and conditions are ordinary shares and confer on the holders:

- (a) the right to receive notice of and attend all general meetings of the Company;
- (b) at all general meetings, 1 vote on a show of hands and 1 vote on a poll, for each share held; and
- (c) subject to any prior rights of any preferred or preference shares:
 - (i) the right to participate in dividends (if any) determined under rule 7.2; and
 - (ii) on the winding up of the Company, the right to participate in the division of any surplus assets or profits of the Company, in proportion to the number of shares the Member holds, irrespective of the amount paid or credited as paid on the shares (except that, in the case of any shares that were partly paid up when the winding up commenced, the amount required to be paid to make the shares fully paid must first be contributed to the Company).

3.4 Preference and redeemable shares

- (a) The Company may only issue preference shares where the rights attaching to the shares in respect of the following matters are set out in this constitution or are approved by a Special Resolution of the Company at a general meeting:
 - (i) repayment of capital;
 - (ii) participation in surplus assets and profits;
 - (iii) cumulative and non-cumulative dividends;
 - (iv) voting; and
 - (v) priority of payment of capital and dividends in relation to other shares or other classes of preference shares.

- (b) Subject to rule 3.4(a), the Directors may issue preference shares that are:
 - (i) redeemable;
 - (ii) redeemable at the option of the Company; or
 - (iii) non-redeemable.

3.5 Variation of class rights

- (a) Rights attached to shares in a class of shares may only be varied or cancelled by a Special Resolution of the Members.
- (b) The Company must give a notice in writing of the variation or cancellation of shares to Members of the class affected within 7 days after the variation or cancellation.

3.6 Conversion of shares

- (a) The Company may, subject to rule 3.5, convert all or any of its shares into a larger or smaller number of shares by Ordinary Resolution passed at a general meeting of Members.
- (b) Any amount unpaid on shares being converted is to be divided equally among the replacement shares.

3.7 Reduction of share capital

- (a) The Company may, subject to the Act, reduce its share capital in any way which is not otherwise authorised by law including by the distribution of specific assets, including securities in, or debentures of, any other body corporate.
- (b) Without limiting rule 3.7(c), if the Company reduces its share capital under rule 3.7(a) by distributing paid up shares in a body corporate, whether by issue or transfer, then each Member:
 - (i) agrees to become a Member of that other body corporate; and
 - (ii) in the case of a transfer, appoints the Company and each Director as its attorney to execute an instrument of transfer or other document required to transfer the relevant shares to that Member.
- (c) If a difficulty arises in relation to a distribution of specific assets referred to in rule 3.7(a), the Directors may resolve the difficulty as they see fit and may:
 - (i) fix the value for distribution of the specific assets or any part of those assets;

- (ii) determine that cash payments will be made to any Members on the basis of the value so fixed in order to adjust the rights of all parties; and
- (iii) vest any of those specific assets in trustees.

3.8 Power to buy back shares

The Company may buy back shares at any time in accordance with the Act.

3.9 Calls on partly paid shares

- (a) If shares in the Company are partly paid, the Directors may resolve that a Member is liable to pay calls on the shares in accordance with the terms on which the shares are on issue, including:
 - (i) paying the amount called on the Member's shares according to the terms of the notice of call; and
 - (ii) paying the amount payable by instalments.
- (b) The joint holders of a share are jointly and severally liable to pay all calls in respect of the share.
- (c) A call must be treated as made at the time when the resolution of the Directors authorising the call is passed.
- (d) The Directors may revoke, postpone or extend a call.

3.10 Notice of a call

- (a) Except where the terms of issue specifies the date (or dates) on which payments must be made on a partly paid share (or the procedure for making calls on partly paid shares), the Company must send to all Members on whom the call is made a notice, at least 10 Business Days before the due date for payment, specifying the:
 - (i) amount of the call;
 - (ii) due date for payment of the call; and
 - (iii) place for payment.
- (b) A Member to whom notice of the call is given under rule 3.10(a) must pay to the Company the amount called in accordance with the notice.
- (c) The non-receipt of a notice of a call by, or the accidental omission to give notice of a call to, any of the Members does not invalidate the call.

3.11 Failure to pay a call

- (a) If a person liable to pay the sum called fails to pay it on or before the date for payment, they must pay to the Company interest on the sum (or unpaid amount) at a rate determined by the Directors. Interest is calculated from the day payment is due until the time of actual payment. The Directors may waive payment of interest wholly or in part.
- (b) If the terms of issue of a share make a sum payable on issue of the share or at a fixed date, this is taken to be a call duly made and payable on the date on which, by the terms of issue, the sum becomes payable. In the case of non-payment, all the relevant provisions of the constitution as to payment of interest and expenses, forfeiture or otherwise apply as if the sum had become payable by virtue of a call duly made and notified under rule 3.10(a).
- (c) The Directors may, on the issue of shares, differentiate between the holders as to the amount of calls to be paid and the times of payment.

3.12 Amounts in advance of a call

- (a) The Directors may accept from a Member all, or a part, of the amount unpaid on a share although no part of that amount has been called up. The Directors may authorise that the Company pay interest upon all or any part of an amount so accepted, until the amount becomes payable, at the rate agreed between the Directors and the Member paying the sum.
- (b) Payment of an amount in advance of a call does not entitle the paying Member to any dividend, benefit or advantage (other than the payment of interest under rule 3.12(a)) to which the Member would not have been entitled if the Member had paid the amount when it became due.
- (c) The Directors may at any time repay the amount advanced under rule 3.12(a) by giving the Member 1 months' notice in writing.

3.13 Recovery for calls

If the Company brings an action for the recovery of money due for any call against a person, proof that:

- (a) the name of the person sued was, when the call was made, entered into the Register as the holder or a holder of the shares in respect of which the call was made;
- (b) the resolution making the call was duly recorded in the Directors' minute book; and
- (c) notice of the call was given to the person sued, is conclusive evidence of that person's debt to the Company.

3.14 Procedure for forfeiture

- (a) If a Member fails to pay:
 - (i) a call, or instalment of a call, on the day appointed for payment of the call or instalment; or
 - (ii) any money payable under rule 3.23, then while any part of the call, or instalment, or other money remains unpaid, the Directors may serve a notice on the Member requiring payment of:
 - (iii) so much of the call or instalment or other money as is unpaid (together with any interest that has accrued); and
 - (iv) the costs, expenses or damages that the Company has incurred due to the nonpayment.
- (b) The notice under rule 3.14(a) must:
 - (i) appoint a further date (which is at least 14 days from the date of service of the notice) on, or before, which the payment required by the notice is to be made; and
 - (ii) state that, in the event of non-payment, the shares in respect of which the call was made will be liable to be forfeited.
- (c) If the requirements of a notice served under rule 3.14(a) are not complied with, any share in respect of which the notice has been given may be forfeited by a resolution of the Directors.
- (d) The forfeiture under rule 3.14(c) includes all dividends and other distributions determined, or payable, in respect of the forfeited share and not actually paid or distributed before the forfeiture.

3.15 Member notified of forfeiture

If any share is forfeited under rule 3.14(c):

- (a) notice of the forfeiture must be given to the Member holding the share (or the Member named under rule 3.24(a)(v)) immediately before the forfeiture; and
- (b) an entry of the forfeiture and its date must be made in the Register.

A failure to give notice or enter the forfeiture in the Register under this rule 3.15 does not invalidate the forfeiture.

3.16 Consequences of forfeiture

- (a) A share forfeited under rule 3.14(c) shall be deemed the property of the Company and may be sold, re-issued or otherwise disposed of as

the Directors see fit, subject to the Act.

- (b) A person whose shares have been forfeited under rule 3.14(c) ceases to be a Member in respect of the forfeited shares, but remains liable to pay and must immediately pay to the Company:
 - (i) all calls, instalments, other amounts and expenses owing on, or payable, in respect of the shares at the time of forfeiture; and
 - (ii) interest at the rate determined by the Directors (calculated from the time of forfeiture until payment).
- (c) That person's liability ceases if and when the Company receives payment in full of all such money in respect of the shares.
- (d) The Directors may cancel the forfeiture under rule 3.14(c) upon conditions they see fit (at any time before a forfeited share has been sold, re-issued or otherwise disposed of under rule 3.16(a)).

3.17 Evidence of forfeiture

A statement in writing declaring that:

- (a) the person making the statement is a Director or a Secretary of the Company; and
- (b) a share in the Company has been duly forfeited on a date stated, is prima facie evidence of the facts as against all persons claiming to be entitled to the share.

3.18 Transfer of forfeited share

- (a) The Company may receive the consideration (if any) given for a forfeited share on a sale or disposal of the share under rule 3.16(a).
- (b) The Company may execute a transfer of the share in favour of the person to whom the share is sold or disposed under rule 3.16(a).
- (c) Upon the execution of the transfer under rule 3.18(b), the transferee is entitled to be registered as the holder of the share and is not bound to see that the Company properly applies any consideration paid by them under rule 3.18(a) to settle any outstanding debts in respect of the forfeited share.
- (d) The title of the transferee to the share is not affected by any irregularity or invalidity in connection with the forfeiture, sale or disposal of the share.

3.19 Application of forfeiture provisions

The provisions as to forfeiture apply in the case of non-payment of any sum

that, by the terms of issue of a share, becomes payable at a fixed time, as if that sum had been payable by virtue of a call duly made and notified under rule 3.10.

3.20 Surrender of shares

The Directors may accept the surrender of any paid up share by way of compromise of any question as to the holder being properly registered in respect of the share. Any share so surrendered may be disposed of in the same manner as a forfeited share under rule 3.14 and rule 3.18.

3.21 Right to lien

- (a) To the extent permitted by law, the Company has a first and paramount lien on all shares registered in the name of a Member (whether solely or jointly) for all money presently payable by the Member or the Member's estate to the Company including:
 - (i) all reasonable interest on the amount due from the date it becomes due until payment; and
 - (ii) reasonable expenses of the Company in respect of the default on payment.
- (b) The Company's lien (if any) on a share under rule 3.21(a) extends to all distributions in respect of that share, including dividends.
- (c) The Directors may at any time exempt a share wholly or in part from the provisions in rule 3.21(a).
- (d) Unless otherwise agreed, the registration of a transfer of shares will operate as a waiver on the Company's lien (if any) on those shares.

3.22 Sale of shares the subject of lien

- (a) Subject to rule 3.22(b), the Company may sell, in the manner the Directors see fit, any shares on which the Company has a lien.
- (b) The Company must not sell a share on which it has a lien unless:
 - (i) a sum in respect of which the lien exists is presently payable; and
 - (ii) the Company has, not less than 14 days before the date of the sale, given to the registered holder for the time being of the share (or the person entitled to the share by reason of the death or bankruptcy of the registered holder) a notice in writing setting out and demanding payment of, the sum presently payable in respect of which the lien exists.

- (c) To give effect to a sale of shares under rule 3.22(a), the Directors may receive the consideration, if any, given for the shares sold and may execute a transfer of the shares sold in favour of the purchaser of the shares.
- (d) The Company must register the purchaser as the holder of the shares comprised in the transfer and the purchaser is not bound to see to the proper application of the purchase money. The title of the purchaser to the shares is not affected by any irregularity or invalidity in connection with the sale.
- (e) The proceeds of a sale under this rule 3.22 must be applied by the Company as follows:
 - (i) in payment of the sum presently payable in respect of which the lien existed;
 - (ii) if there was a lien on the shares for sums not presently payable, the Company may retain any residue of the proceeds of sale and apply the residue to pay those sums when they become presently payable; and
 - (iii) subject to rule 3.22(e)(ii), the Company must pay the residue to the person entitled to the shares immediately before the sale.

3.23 Imposition of a liability and lien

- (a) This rule 3.23 applies if any law for the time being of any country, state or place:
 - (i) imposes or purports to impose any immediate or future or possible liability upon the Company to make any payment in respect of a Member; or
 - (ii) empowers any government or taxing authority or government official to require the Company to make any payment in respect of a share registered in the Register as held either jointly or solely by a Member or in respect of any dividend or other money which is or may become due or payable or is accruing due to the Member by the Company on or in respect of the share;

whether as a consequence of:

- (iii) the death of the Member;
- (iv) the liability of the Member for income tax or other tax;
- (v) the liability of the executor or administrator of the Member or of the Member's estate for any estate, probate, succession, death, stamp or other duty; or

- (vi) anything else.
- (b) If any liability contemplated by rule 3.23(a) is imposed on the Company, the Company:
 - (i) must be fully indemnified by the Member or the Member's executor or administrator from all liability;
 - (ii) has a first and paramount lien upon:
 - (A) all shares registered in the Register as held either jointly or solely by the Member; and
 - (B) upon all dividends and other money payable in respect of the shares for any liability arising under that law; and
 - (C) for any amount paid in complete or partial satisfaction of the liability and for interest on any amount so paid at the rate per annum set by the Directors from the date of payment to the date of repayment, and the Company may deduct from, or set off against the dividends or other money payable, any money so paid or payable by the Company (together with interest);
 - (iii) may recover as a debt due from the Member or the Member's executor or administrator wherever situated, any money paid by the Company under or in consequence of that law, and interest on the money at the rate and for the period referred to in rule 3.23(b)(ii) in excess of any dividend or other money then due or payable by the Company to the Member; and
 - (iv) may, if the money is paid or payable by the Company under that law, refuse to register a transfer of the shares by the Member or the Member's executor or administrator until the money with interest is set off or deducted or if that amount exceeds the amount of the dividend or other money then due or payable by the Company to the Member, until the excess is paid to the Company.
- (c) This rule 3.23 does not prejudice or affect any right or remedy which that law may confer or purport to confer on the Company and the right or remedy is enforceable by the Company against the Member and the Member's executors, administrators and estate wherever situated whether or not the right or remedy is validly conferred.

3.24 Joint holders

- (a) If 2 or more persons are registered as the holders of a share, they must be treated as holding the share as joint tenants with benefits of survivorship subject to rule 3.24(b) and to the following:

- (i) the Company is not bound to register more than 3 persons (not being the trustees, executors or administrators of a deceased holder) as the holder of the share;
 - (ii) the joint holders of the share are liable severally as well as jointly in respect of all payments which ought to be made in respect of the share;
 - (iii) on the death of any 1 of the joint holders, the survivor or survivors are the only person or persons recognised by the Company as having any title to the share, but the Directors may require such evidence of death as they see fit;
 - (iv) any 1 of the joint holders may give effective receipts for any dividend, bonus or return of capital payable to the joint holders; and
 - (v) only the person whose name stands first in the Register as 1 of the joint holders of the share is entitled to delivery of the certificate relating to the share under rule 4.1(a) or to receive notices from the Company (and a notice given to that person must be treated as notice to all the joint holders).
- (b) Where more than 2 persons are registered holders of a share in the Register (or a request is made to register more than 2 persons) only the first 3 named persons are regarded as holders of the share and all other named persons must be disregarded for all purposes except in the case of executors or trustees of a deceased holder.

3.25 Brokerage or commission

- (a) The Company may pay brokerage or commission to a person in respect of that person or another person agreeing to take up shares in the Company.
- (b) Payments by way of brokerage or commission may be satisfied:
 - (i) by the payment of cash;
 - (ii) by the issue of fully or partly paid shares or other securities; or
 - (iii) partly by the payment of cash and partly by the issue of fully or partly paid shares or other securities.

3.26 Threshold Shareholders

A person who is registered as the holder of shares in the Register and has a Threshold Shareholding shall not:

- (a) while a Threshold Shareholder and for such period as the Directors may resolve for that period after the Threshold Shareholder has

transferred their shareholding, partake in, or commence, or be a stakeholder in, any enterprise that is the same as, or similar in nature to, the Company or any of its subsidiaries;

- (b) hold any shares directly or indirectly, in an entity that is the same as, or similar in nature to, the Company or any of its subsidiaries, except for a public listed entity on the Australian Stock Exchange;
- (C) hold any appointments as a director in an entity that is the same as, or similar in nature to, the Company or any of its subsidiaries.

4 Title to, transfer and transmission of shares

4.1 Entitlement to share certificates

- (a) A person whose name is entered as a Member in the Register under rule 4.3 is entitled without payment to 1 share certificate registered in the Member's name or to several certificates in reasonable denominations.
- (b) Where shares are held jointly by several persons, the Company is not bound to issue more than 1 share certificate.
- (c) Delivery of a share certificate may be effected by:
 - (i) giving it to the holder personally;
 - (ii) posting it in a prepaid envelope addressed to the holder at the address shown in the Register; or
 - (iii) otherwise delivering the share certificate in accordance with the written instructions of the holder.
- (d) If a share is jointly held, then delivery of a share certificate using any of the methods under rule 4.1(c) to the person named under rule 3.24(a)(v) is effective delivery to all of them.

4.2 Replacement certificates

- (a) The Company must issue a replacement certificate for shares in accordance with the Act if the holder of the shares:
 - (i) is entitled to a certificate for those shares;
 - (ii) gives satisfactory evidence to the Company that the share certificate previously issued has been stolen, lost or destroyed and has not been pledged, charged, sold or otherwise disposed of; and

(iii) undertakes in writing to the Company to return the certificate to the Company if it is found or received by the Member.

(b) The Directors may order worn out or defaced certificates to be cancelled and replaced by new certificates.

4.3 Recognition of ownership

(a) The Member named in the Register in respect of the shares is the registered holder of those shares (or Members named, in the case of joint holders under rule 3.1) and unless there is evidence to the contrary, the Register in its current form is proof of the matters shown in the Register.

(b) Except as required by law, the Company is not required to recognise:

(i) a person as holding any share on any trust; or

(ii) any other interest in, or any other right in respect of, any share except an absolute right of ownership in the registered holder, whether or not the Company has notice of the trust, interest or right.

4.4 Transfer of shares

(a) A Member may transfer all or any of the Member's shares by instrument in writing in any form that the Directors approve.

(b) The instrument of transfer under rule 4.4(a) must be executed by or on behalf of both the transferor and the transferee.

4.5 Registration of transfers – procedure

(a) A person transferring shares remains the holder of the shares until:

(i) the transfer is registered; and

(ii) the name of the person to whom they are being transferred is entered in the Register in respect of the shares.

(b) Before a transfer of shares is registered:

(i) the transfer and any share certificate must be lodged at the Company's registered office or any other place the Directors allow;

(ii) any fee payable on registration of the transfer must be paid; and

(iii) the Directors must be given any further information they reasonably require to establish the right of the person transferring the shares to make the transfer.

- (c) The Directors may in their discretion dispense with any of the requirements of rule 4.5(b).
- (d) The Directors may, subject to rule 4.6(b), suspend the registration of transfers of shares in the Company for any periods they determine, not exceeding a total of 60 days in any 1 calendar year.
- (e) All powers of attorney granted by Members, which may be used for the purpose of transferring shares and which are lodged, produced or exhibited to the Company, must be treated as remaining in full force until notice in writing of:
 - (i) their revocation; or
 - (ii) the death of the grantor,is lodged at the registered office of the Company.

4.6 Registration of transfers – Directors' discretion

- (a) In this rule 4.6, "Security" means any security interest (including any charge, mortgage, pledge, or assignment by way of security) granted by a Member (or any of its successors, assigns or nominees) over its shares in the Company.
- (b) Subject to rule 4.6(b), the Directors may in their discretion refuse to register a transfer of shares without giving any reason for refusal.
- (c) The Directors may not refuse to register a transfer of shares (or suspend the registration of any such transfer) made pursuant to a valid exercise of an enforcement power under a Security.
- (d) The Directors may rely on receipt of such transfer as conclusive notice that the Security has become enforceable and that the relevant transfer is made pursuant to a valid exercise of an enforcement power.

4.7 Transmission of shares

- (a) If a Member dies (and they do not own shares jointly), the Company will recognise only the personal representative of the deceased Member as being entitled to the deceased Member's interest in the shares. The estate of the deceased Member is not released from any liability in respect of the shares.
- (b) If the person is entitled to shares as the personal representative of a deceased Member, or because of the bankruptcy or mental incapacity of a Member (successor) and that person gives the Directors the information the Directors reasonably require to establish the successor's entitlement to be registered as holder of the shares, the successor may by giving to the Company a:

- (i) signed notice, elect to be registered as the holder of the shares;
or
 - (ii) completed transfer form, transfer the shares to another person;
and the successor, whether or not registered as the holder of the shares, is entitled to the same rights and is subject to the same liabilities, as if the successor were registered as holder of the shares.
- (c) On receiving an election under rule 4.7(b)(i), the Company must register the successor as the holder of the shares.
- (d) A transfer under rule 4.7(b)(ii) is subject to the same rules (for example, about entitlement to transfer and registration of transfers) as apply to transfers generally.
- (e) This rule 4.7 has effect subject to the Bankruptcy Act 1966 (Cth).

5 Drag and tag along rights

5.1 Drag along rights

(a) Drag along notice

If a Member or Members together (collectively Drag Member) proposes to sell all of their shares (Offered Shares) on arm's length terms to a third party buyer, then subject to:

- (i) at least one Drag Member having a Threshold Shareholding; and
- (ii) the Drag Members together also holding 50% or more of the total fully paid up Ordinary Shares, then the Drag Member may give a notice (Drag Along Notice) to each other Member who hold the balance of the total fully paid up Ordinary Shares (Dragged Members) stating its intention to sell all of its shares to the third party buyer and:
 - (iii) requiring each of the Dragged Members to sell all of their shares (Dragged Shares) to the third party buyer on the terms and conditions set out in the Drag Along Notice (but subject to rule 5.1(b)) at the same time as the Drag Member sells its Offered Shares to the third party buyer;
 - (iv) specifying the number of shares and the price (Drag Sale Price) for the shares of all the Dragged Members (Dragged Shares);
 - (v) specifying the proposed settlement date (Settlement Date);
 - (vi) specifying the other material terms and conditions of the proposed sale of the Dragged Shares;

- (vii) specifying the name of the third party buyer; and
- (viii) attaching a copy of the offer by the third party buyer.

(b) Same terms and conditions

The terms and conditions applying to the sale of the Dragged Shares must be the same as those applicable to the Offered Shares but in any case no less favourable to the Dragged Members than the terms and conditions applicable to the sale of the Offered Shares, including in respect of price per share, the extent of any warranties and indemnities and the liability limitations to apply.

(c) Execution of documents

Each Dragged Member must sign all such documents necessary to sell its Dragged Shares to the third party buyer in accordance with the terms of the Drag Along Notice and this rule 5.1.

(d) Completion

- (i) Completion of the sale of the Dragged Shares must take place on the Settlement Date, except that:

- (A) the Drag Member may not specify a date that is less than 20 Business Days nor more than 90 Business Days after the date of the Drag Along Notice; and
- (B) the date so specified by the Drag Member shall be the same date as the date proposed for completion of the sale of the Offered Shares, unless, in the case of the sale by any particular Dragged Member, that Dragged Member, the third party buyer and the Drag Member agree otherwise.

- (ii) On the Settlement Date:

- (A) each Dragged Member must deliver to the third party buyer title to the Dragged Shares free of all encumbrances; and
- (B) the Drag Member will procure that each of the Dragged Members receives the amount calculated as the Drag Sale Price per share, multiplied by the number of shares sold by that Dragged Member.

(e) No revocation

A Drag Along Notice once given cannot be revoked or withdrawn except that the notice and all obligations under it shall lapse if for any reason the Drag Member does not sell its shares to the third party buyer under the proposed transaction.

5.2 Tag along rights

(a) Sale notice

A Member or Members together (collectively Tag Member) with a shareholding which comprises at least 40%, but not more than 49%, of the total fully paid up Ordinary Shares and who intend to sell some or all of their shares (Offered Shares) to a third party buyer, may give a notice in writing (Sale Notice) to each other Member (Offerees) stating their intention to sell some or all of their shares to the third party buyer and specifying:

- (i) the proportion of its shares that they wish to sell to the third party buyer (Sale Proportion);
- (ii) the sale price for the shares (Tag Sale Price);
- (iii) the settlement date (Settlement Date);
- (iv) the other material terms and conditions of the proposed sale; and
- (v) the name of the third party buyer.

(b) Tag along notice

Each Offeree may within 10 Business Days of receipt of the Sale Notice give notice (Tag Along Notice) to the Tag Member of its wish to sell its shares held by or on behalf of the Offeree at the date of the Sale Notice at the Tag Sale Price per share and otherwise on the terms contained in the Sale Notice.

(c) No Tag Along Notice provided

If no Tag Along Notice is received by the Tag Member from any Offeree within 10 Business Days of receipt of the Sale Notice, then the Tag Member may proceed on the terms set out in the Sale Notice to sell the Sale Proportion of its shares to the third party buyer.

(d) If a Tag Along Notice is received

If one or more Offerees gives a Tag Along Notice to the Tag Member, then, subject to rule 5.2(e), the Tag Member must not sell any of its shares in accordance with the Sale Notice, unless contemporaneously with that sale, all shares specified in each Tag Along Notice (Tag Along Shares) are sold at the same price per share and on the same terms and conditions as specified in the Sale Notice.

(e) Purchase of Tag Along Shares by Tag Member

If the third party buyer is unwilling or unable to purchase any of the Tag Along Shares, the Tag Member may, contemporaneously with the sale

of its shares to the third party buyer, itself purchase those Tag Along Shares at the same price per share and on the same terms and conditions specified in the Sale Notice except that no Offeree will be required to provide the Tag Member with any warranties or indemnities in relation to that sale other than market standard warranties relating to the title and ownership of the relevant shares.

(f) Tag to drag

If by 10 Business Days after the Sale Notice is provided to the Offerees, the Tag Member and the Offerees who have given that Tag Member a Tag Along Notice, together hold 50% or more of the total fully paid up Ordinary Shares then all Offerees must sell and transfer all of their fully paid up Ordinary Shares to the third party buyer at the same price per share and on the same terms and conditions as specified in the Sale Notice.

(g) Execution of documents

Each Offeree who has given a Tag Along Notice, or all Offerees if clause 5.2(f) applies, must sign all such documents necessary to sell its Tag Along Shares to the third party buyer, or the Tag Member if rule 5.2(e) applies, in accordance with the terms specified in the Sale Notice.

(h) Settlement date

(i) Completion of the sale of the Tag Along Shares must take place on the Settlement Date specified in the Sale Notice except that:

- (A) the Tag Member may not specify a date that is less than 20 Business Days nor more than 90 Business Days after the date of the Sale Notice; and
- (B) the date so specified by the Tag Member shall be the same date as the date proposed for completion of the sale of the Tag Along Shares, unless, in the case of the sale by any particular Offeree, that Offeree, the third party buyer and the Tag Member agree otherwise.

(ii) On the settlement date specified in the Sale Notice:

- (A) each Offeree who has given a Tag Along Notice, or all Offerees if clause 5.2(f) applies, must deliver to the third party buyer or the Tag Member (as applicable) title to the Sale Proportion of its shares free from all encumbrances; and
- (B) the Tag Member will procure that each Offeree who has given a Tag Along Notice, or all Offerees if clause 5.2(f) applies, receives the amount calculated as the Tag Sale

Price per share, multiplied by the number of shares sold by that Offeree.

(i) Revocation

- (i) A Tag Along Notice once given cannot be revoked or withdrawn except that the notice and all obligations under it shall lapse if for any reason the Tag Member does not sell its shares to the third party buyer under the proposed transaction.
- (ii) If the Tag Member is unable to cause the third party buyer to complete the sale on the Settlement Date then the Tag Member must not sell or otherwise transfer any of the Offered Shares or Tag Along Shares to the third party buyer or any other party.

6 Loans to Members

Terms of loans to Members

- (a) The Company may make a secured or unsecured loan to a Member.
- (b) Unless otherwise agreed in writing by the Company and the Member, the following terms apply to any loan by the Company to a Member:
 - (i) the loan is for a maximum term of 7 years from the date of the loan;
 - (ii) the Member may repay the loan in full at any time before the end of the term; and
 - (iii) minimum yearly repayments (including interest at the rate of interest prescribed for each applicable financial year) in accordance with Division 7A of Part III of the Income Tax Assessment Act 1936 or any applicable substituted or reenacted provisions in any act, are required to be made by 30 June each financial year, commencing in the financial year following the financial year in which the loan is made.
- (c) The Company may require, prior to entering into a loan with a Member, that the Member provide reasonable security for the Member's obligations in respect of the loan.

7 Dividends and reserves

7.1 Entitlement to dividends

Unless otherwise specified in the decision to pay a dividend, all dividends are payable to the Members on the Register on the date fixed for payment.

7.2 Payment of dividends

- (a) The Directors may pay dividends (both interim and final) and may fix the:
 - (i) amount;
 - (ii) time for payment; and
 - (iii) method of payment.
- (b) Interest is not payable on a dividend.

7.3 Manner of payment of dividends

Any dividend, interest or other money payable in cash in respect of shares may be paid:

- (a) directly into an account with a bank or other financial institution as the holder instructs, or joint holders instruct, in writing; or
- (b) by cheque, posted to the address:
 - (i) of the holder as shown in the Register;
 - (ii) in the case of joint holders, of the person named in rule 3.24(a)(v); or
 - (iii) as the holder or joint holders instruct in writing.

7.4 Deductions from dividends

The Directors may:

- (a) deduct from any dividend payable to a Member, any amount up to the total amount payable (if any) by the Member to the Company, on account of calls or otherwise in relation to shares in the Company; and
- (b) use that deducted amount to satisfy the Member's debt.

7.5 Unclaimed dividends

The Directors may invest or use unclaimed dividends for the benefit of the Company until claimed.

7.6 Change decision to pay dividend

The Directors may change or revoke a decision by them to pay a dividend at any time before the time fixed for payment arrives.

7.7 Crediting of dividends

- (a) All dividends are apportioned and paid equally on each share, subject to the rights of persons (if any) entitled to shares with special rights as to dividends and to this rule 7.7.
- (b) If a share is issued on terms that it will rank for dividends as from a particular date, then that share ranks for dividends only from that date.
- (c) The holder of a partly paid share is not entitled to a greater proportion of the dividend than the proportion which the amount paid (not credited) is of the total amounts paid and payable (excluding amounts credited). Despite any other provision of this rule 7.7, amounts paid in advance of a call are ignored when calculating the proportion in this rule 7.7(c).

7.8 Dividends where different classes of shares

If there is more than 1 class of shares, provided that the terms of issue of the relevant classes of shares permit:

- (a) any dividend, whether interim or otherwise, may be paid on the shares of any 1 or more class or classes to the exclusion of the shares of any other class or classes; and
- (b) the dividend on the shares of 1 class may be at a higher or lower rate than the dividend on the shares of another class, but the shares within each class must share equally in any dividend in respect of that class.

7.9 Payment of dividends on transmission

The Directors may retain the dividends or bonuses payable on any share to which rule 7.8 applies until the person entitled to elect to be registered as holder of the share or to transfer the share does so.

7.10 Payment of dividends by asset distribution

- (a) When resolving to pay a dividend, the Directors may direct payment of the dividend wholly or partly by the distribution of specific assets, including paid up shares in, or debentures of, the Company or any other body corporate.
- (b) Without limiting rules 7.11(a) and 7.11(c), if the Company reduces its share capital under rule 7.11(a) by distributing paid up shares in a body corporate, whether by issue or transfer, then each Member:
 - (i) agrees to become a Member of that other body corporate; and
 - (ii) in the case of a transfer, appoints the Company and each Director as its attorney to execute an instrument of transfer or other document required to transfer the relevant shares to that

Member.

- (c) If a difficulty arises regarding a distribution of specific assets referred to in rule 7.10(a), the Directors may resolve the difficulty as they see fit and may:
 - (i) fix the value for distribution of the specific assets or any part of those assets;
 - (ii) determine that cash payments will be made to any Members on the basis of the value so fixed in order to adjust the rights of all parties; and
 - (iii) vest any of those specific assets in trustees.

7.11 Power to apply reserves

- (a) Before recommending or deciding to pay any dividend, the Directors may set aside, out of the profits of the Company, an amount they think proper as reserves. These reserves may be applied, at the discretion of the Directors, for any purpose for which the profits of the Company may be properly applied.
- (b) Pending the application of reserves under rule 7.11(a), the reserves may be used in the business of the Company or be invested as the Directors see fit, at their discretion.
- (c) The Directors may carry forward so much of the profits remaining as they consider ought not to be distributed as dividends without transferring those profits to a reserve.

8 Capitalisation of profits

Capitalisation of profits

- (a) The Company may capitalise profits. The capitalisation need not be accompanied by the issue of shares.
- (b) The Directors, or the Company in a general meeting on the recommendation of the Directors, may apply profits, including reserves and sums otherwise available for distribution to Members, to:
 - (i) pay up any amount unpaid on shares;
 - (ii) issue shares, debentures or unsecured notes to Members credited as fully paid up; or
 - (iii) partly as mentioned in rule 8.1(i) and partly as mentioned in rule 8.1(ii).
- (c) The amount applied under rule 8.1(b) must be applied for the benefit of

Members in the proportions in which the Members are entitled to dividends.

- (d) For the purpose of rule 8.1(b)(iii), the Directors may to the extent necessary to adjust the rights of the Members among themselves:
 - (i) issue fractional certificates or make cash payments in cases where shares, debentures or unsecured notes become issuable in fractions;
 - (ii) determine the amount payable to a Member under rule 8.1(b) if there is no proportional entitlement;
 - (iii) fix the value for distribution of any specific assets or any part of them;
 - (iv) round down any payment to the nearest dollar; and
 - (v) vest any cash or specific assets in trustees upon trust for the persons entitled to the dividend or capitalised fund.

9 Directors' powers, dealings and delegates

9.1 Continuing Directors

The Directors who hold office at the date of adoption of this constitution continue in office subject to this constitution.

9.2 Number of Directors

- (a) The Company must have at least 1 Director and not more than 5 Directors.
- (b) The Company in a general meeting may by Ordinary Resolution fix, reduce or increase the number of Directors required in rule 9.1(a), so long as the minimum number of Directors is at least 1.

9.3 Directors' powers

- (a) The Directors have the power and duty to manage the business of the Company and may exercise all the powers of the Company, except any powers that the Act or this constitution requires the Company to exercise in a general meeting.
- (b) A rule made or resolution passed by the Company in a general meeting does not invalidate any prior act of the Directors which would have been valid if that rule or resolution had not been made or passed.
- (c) The Directors may be reimbursed for all reasonable expenses incurred by them in forming the Company.

9.4 Borrowing and other powers

- (a) The Directors may exercise all the powers of the Company to:
 - (i) borrow or raise money, subject to rule 9.4(c);
 - (ii) charge any of the Company's:
 - (A) property;
 - (B) business; or
 - (C) uncalled capital;
 - (iii) issue debentures; or
 - (iv) give any other security for a debt, liability or obligation of the Company or of any other person.
- (b) The Directors may decide the terms of and prices at which to issue debentures or other securities, including:
 - (i) bearing interest or not;
 - (ii) with rights to subscribe for, or exchange into, shares or other securities in the Company or a Related Body Corporate; or
 - (iii) with special privileges as to:
 - (A) redemption;
 - (B) participating in share issues;
 - (C) attending and voting at general meetings; and
 - (D) appointing Directors.
- (c) If an annual budget or business plan adopted under rule 9.5 requires additional financial accommodation then this must be provided in the form of Members loans unless otherwise agreed in writing by the Members.

9.5 Directors' reporting and disclosure obligations

In addition to any other duties imposed by the constitution or the Act, the Directors must:

- (a) before the end of each financial year adopt:
 - (i) an annual budget for the following financial year;

- (ii) a business plan for the following financial year including, but not limited to, the following:
 - (A) business strategy, including pricing policy and product and service strategy;
 - (B) personnel policy and hiring plans;
 - (C) engagement of third party and outsourced suppliers;
 - (D) financing requirements for working capital, investment and expansion;
 - (E) profit objectives;
 - (F) dividend policy; and
 - (G) marketing plan;
- (b) prepare the following reports as soon as practicable after the end of each quarter but no later than 30 days after such time and make them available to any Director or Shareholder to inspect upon request:
 - (i) an unaudited profit and loss and cash flow statement for each of the months in the quarter just ended, the current financial year to date and with projections for the following 12 months; and
 - (ii) an unaudited balance sheet as at the end of each month in the quarter just ended, each in accordance with generally accepted accounting principles;
- (c) as soon as practicable following the end of the financial year but no later than 30 days after such time prepare an audited profit and loss statement and balance sheet for the financial year just ended;
- (d) provide to any Member (at the Member's cost) any information necessary to satisfy any of the Member's reporting obligations to any governmental or regulatory body, local or otherwise; and
- (e) if required by law or upon written request of all Members with a Threshold Shareholding, prepare audited accounts annually;
- (f) upon 5 Business Days' written notice from a Member with a Threshold Shareholding, allow for that Member or its representative to:
 - (i) inspect any of the Company's property;
 - (ii) inspect and take copies of any of the Company's documents relating to its business and accounts; and

- (iii) discuss with the Company's officers and auditor (if any), the Company's financial and business affairs.

9.6 Negotiable instruments

- (a) Any 2 Directors (or a Director and company Secretary) may sign, draw, accept, endorse or otherwise execute a negotiable instrument.
- (b) The Directors may determine that a negotiable instrument, including a class of negotiable instruments, may be signed, drawn, accepted, endorsed or otherwise executed in a different way.

9.7 Appointment of attorney

- (a) The Directors may appoint any person or persons to be the attorney or attorneys of the Company subject to the conditions they see fit.
- (b) A power of attorney may:
 - (i) contain the provisions for the protection and convenience of persons dealing with the attorney that the Directors see fit; and
 - (ii) authorise the attorney to delegate all or any of the powers and discretions vested in the attorney.

9.8 Delegation

- (a) The Directors may delegate any of their powers to:
 - (i) a Director;
 - (ii) an employee of the Company; or
 - (iii) any other person, and may revoke the delegation.
- (b) The delegate must exercise the powers delegated in accordance with any directions of the Directors.
- (c) The exercise of a power by the delegate is as effective as if the Directors had exercised it.
- (d) Subject to rule 9.9(b), the delegate has no power to delegate further.

9.9 Committee of Directors

- (a) Subject to rule 9.8, the Directors may delegate their powers to any 1 or more of their number, which they appoint to a committee, for any purpose and on the conditions that the Directors see fit.
- (b) A delegate appointed by the Directors to a committee may be authorised to sub-delegate any of the powers vested in them.

- (c) The meetings and proceedings of any committee of Directors consisting of 2 or more members are governed by the provisions in this constitution regulating the meetings and proceedings of the Directors.
- (d) The members of a committee may elect 1 of their number as chairperson of their meetings. If a meeting of a committee is held and:
 - (i) a chairperson has not been elected; or
 - (ii) a previously elected chairperson is:
 - (A) not present within 10 minutes after the time appointed for the holding of the meeting; or
 - (B) unable or unwilling to act, the committee members involved may elect 1 of their number to be chairperson of the meeting.

10 Appointment, removal and resignation of Directors

10.1 Appointment of Directors

- (a) The first Directors are those named in the application for registration of the Company.
- (b) The Company in a general meeting may by Ordinary Resolution and the Directors may at any time, appoint a person qualified to be a Director, either to fill a casual vacancy or as an addition to the existing Directors, but so that the total number of Directors does not at any time exceed the maximum number fixed under rule 9.2(a).
- (c) Any Member who holds a Threshold Shareholding in the Company may appoint any person to be a Director of the Company subject to:
 - (i) such person being qualified to be a Director; and
 - (ii) a notice of appointment and a consent to act as a Director relating to that appointment being provided to the Company within 30 days of the appointment.

For the avoidance of doubt, the appointment date is deemed to be the date that rule 10.1(c)(ii) is complied with.

- (d) Any Member who appoints a Director under rule 10.1(c) and the number of existing Directors is equal to the maximum number of Directors fixed under rule 9.2(a) then the Directors will resolve which Director will retire. If the Directors cannot resolve which Director will retire at the Directors' meeting convened for that purpose then the last appointed Director who was not appointed under rule 10.1(b) will be deemed to have retired.

10.2 Resignation or retirement of Director

- (a) A Director may resign as a Director of the Company by giving a written notice of resignation to the Company at its registered office.
- (b) A person who is the only Director of a Company may not resign from office until they appoint a replacement Director in accordance with rule 10.1(b).
- (c) If a person who is the only Director vacates his or her office or resigns and does not appoint a replacement Director in accordance with rule 10.2(b) then, subject to rule 10.3, the Members must appoint a replacement Director within 5 Business Days and if they fail to do so, the Members must wind up the Company.

10.3 Removal of Directors

- (a) The Members of the Company may by Ordinary Resolution remove a Director from office subject to rule 10.3(b).
- (b) A Director appointed under rule 10.1(c) can only be removed by the Member who appointed that Director providing the Company with a written notice of that Director's removal.

10.4 Vacation of office of Director

In addition to rules 10.2(a) and 10.3 of this constitution, the office of a Director becomes vacant if the Director:

- (a) is not present (either personally or by an Alternate Director) at 3 consecutive meetings of Directors without special leave of absence from the Directors and the Directors declare his or her seat to be vacant at these meetings;
- (b) dies or becomes of unsound mind or a person whose personal estate is liable to be dealt with in any way under the law relating to mental health; or
- (c) becomes disqualified or prohibited from being a Director under the Act or any order made under the Act.

10.5 When appointment or retirement takes effect

- (a) Directors who are appointed at a meeting of Members take office immediately after the end of the meeting.
- (b) Directors who retire at a meeting of Members continue to hold office until the end of the meeting.

11 Remuneration of Directors

11.1 Payment of remuneration

- (a) The Directors are to be paid the remuneration that the Company determines by Ordinary Resolution of Members in a general meeting.
- (b) The expression “remuneration” in rule 11.1(a) does not include any amount which may be paid by the Company under rules 11.2, 11.3, 11.4, or 23.2.

11.2 Payment of superannuation contributions

The Company may also pay the Directors’ superannuation contributions of an amount necessary to meet the minimum level of superannuation contributions required under any applicable legislation to avoid any penalty, charge, tax or impost.

11.3 Payment of expenses

The Company may also pay the Directors’ travelling and other expenses that they properly incur in:

- (a) attending Directors’ meetings or any meetings of committees of Directors;
- (b) attending any general meetings of the Company; or
- (c) in connection with the Company’s business.

11.4 Payment for extra services

- (a) Any Director called upon to:
 - (i) perform extra services; or
 - (ii) undertake any executive or other work for the Company beyond his or her general duties, may be remunerated either by a fixed sum or a salary as determined by the Directors.
- (b) Remuneration under rule 11.4(a) may be either in addition to or in substitution for the Director’s share in the remuneration provided by rule 11.1.

11.5 Loans to Directors

The Company may make loans to Directors or provide guarantees or security for obligations undertaken by Directors, subject to the Act and rule 5.

11.6 Information about Directors' remuneration

The Company must comply with a direction by the Members to disclose the remuneration paid to each Director by the Company (whether paid to the Director in his or her capacity as a Director or another capacity), if required by the Act.

11.7 Effect of cessation of office

(a) The Directors may:

- (i) upon a Director ceasing to hold office; or
- (ii) at any time after a Director ceases to hold office, whether by resignation or retirement under rule 9 or otherwise, pay to:
- (iii) the former Director; or
- (iv) in the case of the former Director's death:
 - (A) any of the legal personal representatives; or
 - (B) dependants of the former Director, a lump sum in respect of past services of the Director of an amount not exceeding the amount permitted by the Act, without recourse to a general meeting.

(b) The Company may contract with any Director to secure payment of the lump sum to:

- (i) the Director;
- (ii) his or her legal personal representatives; or
- (iii) dependants or any of them, unless prohibited by the Act.

(c) A determination made by the Directors in good faith that a person is or was at the time of the death of a Director a dependent of the Director is conclusive for all purposes of rule 10(a).

12 Managing Director

12.1 Appointment

The Directors may appoint 1 of themselves to the office of Managing Director for the period and on the terms the Directors see fit subject to such person also being a Member with a Threshold Shareholding in the Company or alternatively, is a Director appointed under rule 10.1(c).

12.2 Powers of Managing Director or executive officer

- (a) The Directors may, upon the terms they see fit, confer on a Managing Director any of the powers that the Directors can exercise.
- (b) Any powers so conferred under rule 12.2(a) may be concurrent with, or to the exclusion of, the powers of the Directors.
- (c) Where the Directors confer powers on the Managing Director, the Managing Director will enter into an agreement with the Company evidencing those powers and any other duties agreed to and which form a part of the role of Managing Director as determined by the Directors.

12.3 Temporary appointments

If a Managing Director becomes incapable of acting in that capacity, the Directors may appoint another Director to act temporarily as Managing Director or executive officer subject to such person also being a Member with a Threshold Shareholding in the Company.

12.4 Withdrawal of appointment or powers

The Directors may revoke or vary an appointment or any of the powers conferred on the Managing Director by Special Resolution of the Directors.

12.5 Qualifications

A person ceases to be Managing Director or executive officer if he or she ceases to be a Director or the Member under rule 10.1(c) which appointed the Director ceases to be a Threshold Shareholder in the Company.

12.6 Remuneration

A Managing Director or executive officer is subject to the terms of any agreement entered into, in any particular case, to receive the remuneration (by way of salary commission or participation in profits or partly in one way and partly in another) that the Directors may determine.

13 Alternate Directors

13.1 Appointment of Alternate Director

- (a) A Director (except the Managing Director) may appoint any person approved by a majority of the other Directors to act as an Alternate Director in place of the appointing Director for a meeting or for a specified period.
- (b) An Alternate Director is not taken into account for the purpose of rule 9.1 (in determining the number of Directors).

13.2 Power to act as alternate for more than 1 Director

A Director or any other person may act as Alternate Director to represent more than 1 Director.

13.3 Rights and powers of Alternate Director

- (a) An Alternate Director may exercise all the powers of the appointor except the power to appoint an Alternate Director and subject to the Act, may perform all the duties of the appointor except to the extent that the appointor has exercised or performed them.
- (b) An Alternate Director is entitled to notice of meetings of the Directors and if the appointing Director is not present (or does not participate) at a meeting, is entitled to attend and vote on their behalf.
- (c) An Alternate Director is entitled to a separate vote for each Director that the Alternate Director represents in addition to any vote the Alternate Director may have as a Director in his or her own right.
- (d) An Alternate Director, when acting as a Director, is responsible to the Company for his or her own acts and defaults and is not to be taken as the agent of the Director by whom he or she was appointed.

13.4 Suspension or revocation of appointment

- (a) A Director may suspend or revoke the appointment of an Alternate Director appointed by him or her.
- (b) The Directors may resolve by a Special Resolution of the Directors, to suspend or remove an Alternate Director after giving the appointing Director reasonable notice of their intention to do so.

13.5 Termination or resignation of appointment

The appointment of an Alternate Director automatically terminates:

- (a) if the appointing Director ceases to hold office as Director;
- (b) on the happening of any event which causes the Alternate Director to vacate the office of Director; or
- (c) if the Alternate Director resigns from the appointment by written notice.

13.6 Form of appointment, suspension, revocation or resignation

An appointment under rule 13.1, a suspension or revocation under rule 13.4, or a resignation under rule 13.5(c), takes effect only when the Company has received notice in writing of the appointment, suspension, revocation or resignation. The relevant persons may give notice under this rule 13.6 by delivering it by hand or post to the registered office, or by facsimile or

electronic means.

14 Directors' meetings and resolutions

14.1 Meetings of Directors

The Directors may meet together for the dispatch of business and may regulate their meetings as they see fit.

14.2 Calling Directors' meetings

A Director at any time and a Secretary (if applicable) at the request of a Director, may call a meeting of Directors.

14.3 Notice of meeting

- (a) Reasonable notice of every Directors' meeting must be given to each Director and Alternate Director except for any Director who:
 - (i) has been given special leave of absence; or
 - (ii) is absent from Australia and has not left a facsimile number or other contact details acceptable to the Directors at which he or she may be given notice.
- (b) A notice of a meeting of Directors may be given as the Directors may, pursuant to rule 14.1, determine either in writing, orally or by using technology.

14.4 Waiver of notice

The resolutions passed at a meeting of Directors for which notice was not given to all Directors and actions taken to implement those resolutions, are nonetheless valid if each Director who was not given notice later agrees to waive the receipt of that notice.

14.5 Technology meeting of Directors

- (a) A Directors' meeting under rule 14.1 may be held using any technology consented to by all Directors.
- (b) The consent under rule 14.5(a) may be a standing one. A Director may only withdraw their consent within a reasonable period before the meeting.
- (c) If a Directors' meeting is held using any technology and all the Directors take part in the meeting, those Directors are treated as having consented to the use of the technology for that meeting under rule 14.5(a).

- (d) If a technology meeting under rule 14.5(a) is held:
 - (i) each of the Directors taking part in the meeting must be able to hear, and be heard by, each of the other Directors taking part in the meeting; and
 - (ii) at the commencement of the meeting, each Director must announce his or her presence to all the other Directors taking part in the meeting.
- (e) If a Secretary is not present at a technology meeting, 1 of the Directors present or another person nominated by them present at the meeting must take minutes of the meeting.
- (f) A Director is conclusively presumed to have been present and to have formed part of a quorum at all times during a technology meeting unless that Director has previously obtained the express consent of the chair to leave the meeting.

14.6 Quorum

- (a) The quorum for a Directors' meeting is 2 Directors, inclusive of 1 Director appointed under rule 10.1(c), entitled to vote. The quorum must be present at all times during the meeting.
- (b) An Alternate Director is counted in a quorum at a meeting at which the Director who appointed the alternate is not present (so long as the alternate is, under the law relating to Directors' interests and the Act generally, entitled to vote).

14.7 Chairing Directors' meetings

- (a) The Directors appointed under rule 10.1(c), may elect 1 of the Directors to chair their meetings for a specified period or indefinitely until the Directors determine otherwise by Special Resolution.
- (b) If a meeting of Directors is held and a:
 - (i) chairperson has not been elected; or
 - (ii) previously elected chairperson is:
 - (A) not present within 20 minutes after the time appointed for the holding of the meeting; or
 - (B) unable or unwilling to act, the Directors appointed under rule 10.1(c) may elect 1 of their number to be chairperson of the meeting.
- (c) The chairperson of a Directors' meeting has a casting vote.

14.8 Passing of Directors' resolutions

- (a) A resolution of the Directors must be passed by a majority of the votes cast by Directors entitled to vote on the resolution unless otherwise set out in this constitution or the Act.
- (b) A person who is an Alternate Director is entitled (in addition to his or her own vote if he or she is a Director) to 1 vote on behalf of each Director whom he or she represents as an Alternate Director at the meeting and who is not present at the meeting.

14.9 Circulating resolutions

- (a) The Directors may pass a resolution without a Directors' meeting being held if all the Directors entitled to vote on the resolution sign a document containing a statement that they are in favour of the resolution set out in the document.
- (b) The Directors may use separate copies of a document for signing if the wording of the resolution and statement is identical in each copy.
- (c) A resolution under rule 14.9(a) is passed when the last Director signs.
- (d) A facsimile addressed to, or received by, the Company purporting to be signed, or sent, by a Director for the purpose of this rule 14.9 must be treated as a document in writing signed by that Director.
- (e) In this rule 14.9, a reference to all Directors does not include a reference to an Alternate Director whose appointor has signed the document, but an Alternate Director may sign the document in the place of his or her appointor.

15 Directors' interests

15.1 Prohibition on being present or voting

Except where permitted by the Act, a Director who has a material personal interest in a matter that is being considered at a Board meeting:

- (a) must not be counted in a quorum;
- (b) must not vote on the matter; and
- (c) must not be present while the matter is being considered at the meeting.

15.2 Directors' interests

Subject to this Constitution and the Act:

- (a) a Director or a body or entity in which a Director has a direct or indirect interest may:
 - (i) enter into any agreement or arrangement with the Company;
 - (ii) hold any office or place of profit (other than Auditor) in the Company; and
 - (iii) act in a professional capacity (other than as Auditor) for the Company,
 - (iv) and the Director or the body or entity may receive and keep beneficially any remuneration, profits or benefits under any agreement or arrangement with the Company or from holding an office or place of profit in or acting in a professional capacity with the Company;
- (b) the fact that a Director holds office as a Director and has fiduciary obligations arising out of that office:
 - (i) does not void or render voidable a contract made by the Director with the Company;
 - (ii) does not void or render voidable a contract or arrangement entered into by or on behalf of the Company and in which the Director may have an interest; and
 - (iii) does not require the Director to account to the Company for any profit realised by or under any contract or arrangement entered into by or on behalf of the Company and in which the Director may have an interest;
- (c) a Director may be or become a director or other officer of, or otherwise be interested in:
 - (i) any related body corporate of the Company; or
 - (ii) any other body corporate promoted by the Company or in which the Company may be interested as a shareholder or otherwise, and
 - (iii) is not accountable to the Company for any remuneration or other benefits received by the Director from having an interest in that body corporate; and
- (d) any Director:
 - (i) may exercise the voting power conferred by the shares or other interest held by the Company in another company in favour of a resolution appointing themselves or any Director as a director or other officer of the other company;

- (ii) may vote at a Board meeting in favour of a resolution that the Company exercises its voting power conferred by the shares or other interest held by the Company in the other company to appoint that Director as a director or other officer of the other company;
- (iii) may be appointed as representative of the Company and may vote at a general meeting of the other company in favour of a resolution appointing that Director as a director or other officer of the other company; and
- (iv) if also a director of the other company, may vote as a director of the other company in whatever manner he or she sees fit, including voting in favour of a resolution appointing the Director to any other office in the other company and a resolution appointing any other Directors as directors or other officers of the other company.

15.3 Material personal interest - Director's duty to disclose

- (a) If a Director has a material personal interest in a matter that relates to the affairs of the Company, the Director must give the other Directors notice of the interest unless an exception in the Act applies.
- (b) A notice required by sub-paragraph (i) must:
 - (i) include details of:
 - (A) the nature and extent of the interest; and
 - (B) the relation of the interest to the affairs of the Company; and
 - (ii) be given at a Board meeting as soon as practicable after the Director becomes aware of their interest in the matter.

15.4 Director may give standing notice about a material personal interest

- (a) A Director required to give notice under paragraph (c) may give standing notice of the nature and extent of the interest in the matter;
- (b) The notice may be given at any time and whether or not the matter relates to the affairs of the Company at the time the notice is given;
- (c) A notice under sub-paragraph (i) may be given:
 - (i) at a Board meeting either orally or in writing; or
 - (ii) to the other Directors individually in writing.

- (d) If the standing notice is given to the other Directors individually in writing:
 - (i) the notice is effective when it has been given to every Director; and
 - (ii) the notice must be tabled at the next Board meeting after it is given.
- (e) The Director must ensure that the nature and extent of the interest is recorded in the minutes of the meeting at which the standing notice is given or tabled.

15.5 Wholly owned subsidiary

If the Company is a wholly owned subsidiary, a Director may act in the best interests of the holding company if:

- (a) the Director acts in good faith;
- (b) the Company is not insolvent at the time; and
- (c) the Company does not become insolvent as a result of the Director's act.

16 Members' meetings and resolutions

16.1 Calling a general meeting

- (a) A Director may call a meeting of the Company's Members.
- (b) No Member or Members may call a general meeting, except as provided in the Act.
- (c) No annual general meeting need be held, so long as the Company remains a proprietary company.

16.2 Technology meeting

The Company may hold a meeting of its Members at 2 or more venues using technology that gives the Members as a whole a reasonable opportunity to participate.

16.3 Amount of notice of meeting

The Company must give at least 21 days' written notice of a general meeting to those persons who are entitled to receive notices from the Company, subject to the provisions of the Act as to short notice.

16.4 Persons entitled to notice of general meeting

- (a) Written notice of a meeting of the Company's Members must be given individually to:
 - (i) each Member entitled to vote at the meeting;
 - (ii) each Director;
 - (iii) the Company's Auditor (if applicable); and
 - (iv) subject to rule 16.5, every person entitled to a share in consequence of the death or bankruptcy of a Member who, but for his or her death or bankruptcy, would be entitled to receive notice of the meeting.
- (b) No other person is entitled to receive notice of general meetings.
- (c) If a share is held jointly, then unless the share is the only share in the Company, notice need only be given to the person named under rule 3.24(a)(v).

16.5 Notice upon transmission

- (a) A person entitled to a share because of the death or bankruptcy of a Member pursuant to rule 4.7(a) is not entitled to a notice of meeting until that person has produced all information as to the person's entitlement that the Directors properly require under rule 4.7(b).
- (b) The Company may give a notice of meeting to a person entitled to a share because of the death or bankruptcy of a Member pursuant to rule 4.7(a):
 - (i) by serving it on the person personally; or
 - (ii) by posting it:
 - (A) to the address (if any) in Australia supplied for the purpose by the person; or
 - (B) if an address has not been supplied, to the address to which the notice of meeting might have been sent if the death or bankruptcy had not occurred.

16.6 How notice is given

- (a) The Company may give the notice of meeting to a Member:
 - (i) personally;
 - (ii) by sending it by post to the address for the Member in the

Register or the alternative address (if any) nominated by the Member;

- (iii) by sending it to the facsimile number or electronic address (if any) nominated by the Member;
- (iv) by sending it by other electronic means (if any) nominated by the Member; or
- (v) by notifying the Member in accordance with rule 16.6(b).

(b) If the Member nominates:

- (i) an electronic means by which the Member may be notified that notices of general meeting are available (nominated notification means); and
- (ii) an electronic means the Member may use to access notices of general meeting (nominated access means), the Company may give the Member notice of the meeting by notifying the Member (using the nominated notification means):
- (iii) that the notice of general meeting is available; and (iv) how the Member may use the nominated access means to access the notice of general meeting.

16.7 When notice is given

- (a) A notice of meeting sent by post is taken to be given on the second Business Day after it is posted.
- (b) A notice of meeting given to a Member under rule 16.6(a)(iii) is taken to be given on the business day after it is sent, unless:
 - (i) in the case of service by facsimile, the Company's facsimile machine issues a transmission report which shows that the transmission was unsuccessful;
 - (ii) in the case of service by electronic mail, the Company's computer reports that delivery has failed; or
 - (iii) in either case, the addressee notifies the Company immediately that the notice was not fully received in a legible form.
- (c) A notice of meeting given to a Member under rule 16.6(a)(v) is taken to be given on the Business Day after the day on which the Member is notified that the notice of meeting is available.

16.8 Period of notice

In determining the period of notice, the day of service is excluded and the

day upon which the notice under rule 16.3 expires is included, subject to the Act and this constitution where a specified number of days' notice or notice extending over any period is required to be given.

16.9 Contents of notice

A notice of a meeting must:

- (a) set out the place, date and time for the meeting (and, if the meeting is to be held in 2 or more places, the technology that will be used);
- (b) state the general nature of the meeting's business;
- (c) if a resolution is to be proposed at the meeting, set out an intention to propose the resolution and state the resolution;
- (d) be worded and presented in a clear, concise and effective manner; and
- (e) contain a statement setting out the following information:
 - (i) that the Member has a right to appoint a proxy;
 - (ii) that the proxy need not be a Member of the Company; and
 - (iii) that a Member who is entitled to cast 2 or more votes may appoint not more than 2 proxies and may specify the proportion or number of votes each proxy is appointed to exercise.

16.10 Accidental omission to give notice

The accidental omission to give notice of any general meeting to, or the non-receipt of the notice by, any person entitled to receive notice of a general meeting or the accidental omission to advertise (if necessary) the meeting does not invalidate the proceedings at or any resolution passed at the meeting.

16.11 Adjournment of general meeting

- (a) The chairperson of a general meeting at which a quorum is present:
 - (i) in his or her discretion may adjourn the meeting with consent from the majority of the Members present; and
 - (ii) must adjourn the meeting if a majority of the Members present direct him or her to do so.
- (b) An adjourned meeting may take place at a different venue to the initial meeting.
- (c) The only business that may be conducted at an adjourned general meeting is the unfinished business of the initial general meeting.

- (d) If a general meeting has been adjourned for more than 21 days, at least 3 days written notice (exclusive of the day on which the notice is served or taken to be served and of the day for which notice is given) of the adjourned meeting must be given to Members.

16.12 Quorum

- (a) While the Company has 1 Member, the quorum for the Company is that Member.
- (b) While the Company has 2 or more Members, the quorum for a meeting of the Company's Members is 2 Members, inclusive of 1 Threshold Shareholder, and the quorum must be present at all times during the meeting.
- (c) In determining whether a quorum is present, individuals attending as proxies, attorneys or body corporate Representatives are counted.
- (d) For the purposes of rule 16.12(c), if a Member has appointed more than 1 proxy, attorney or Representative, only 1 of them is counted.
- (e) If a quorum is not present within 30 minutes after the time for the meeting set out in the notice of meeting under rule 16.3:
 - (i) where the meeting was called by the Members or upon the requisition of Members, the meeting is dissolved; or
 - (ii) in any other case, the meeting is adjourned to the date, time and place the Directors specify. If the Directors do not specify 1 or more of those things, the meeting is adjourned to:
 - (A) if the date is not specified – the same day in the next week;
 - (B) if the time is not specified – the same time; and
 - (C) if the place is not specified – the same place.
- (f) If no quorum is present at the resumed meeting within 30 minutes after the time for the meeting, the meeting is dissolved.

16.13 Chair at general meetings

- (a) If the Directors have appointed a chairperson under rule 14.7, that chairperson presides as chair at every general meeting, for the specified period.
- (b) The chairperson is responsible for the general conduct of the meeting and for the procedures to be adopted at that meeting. The chairperson's ruling on all matters pursuant to this rule 16.13(b) is final.
- (c) Where a general meeting is held and:

- (i) a chairperson as referred to in rule 16.13(a) has not been appointed;
 - (ii) the chairperson is not present within 30 minutes after the time appointed for the holding of the meeting; or
 - (iii) the chairperson is unwilling to act, the Directors present may appoint 1 of their number to chair that meeting.
- (d) If no appointment is made under rule 16.13(c) then:
 - (i) the Members may elect 1 of the Directors present as chairperson; or
 - (ii) if no Director is present or willing to take the chair, the Members may elect 1 of the Members present as chairperson.
- (e) The chairperson of the general meeting may in his or her absolute discretion refuse admission to, or require to leave and remain out of, the meeting, any person who is not:
 - (i) a Member (or a proxy, attorney or Representative of a Member);
 - (ii) a Director (or an Alternate Director); or
 - (iii) an Auditor (if applicable), of the Company.

16.14 General conduct

For the purposes of clarity under rule 16.13 (b), the chair of a meeting of members has general conduct of the meeting and may determine procedures to be followed, subject to the general law and the requirements of the Act. Without limiting those powers, the chair may refuse a person admission to, or require the person to leave and not return to, a meeting if the person:

- (a) refuses to permit reasonable examination of any article in their possession; or
- (b) is in possession of any:
 - (i) electronic or recording device;
 - (ii) placard or banner; or
 - (iii) other article, which the chair considers to be dangerous, offensive or liable to cause disruption.

17 Member decisions of 1 Member company

Resolutions of 1 Member company

- (a) If the Company has only 1 Member, that Member may pass a resolution by recording the resolution in the minute book and signing the record.
- (b) If there is only 1 share in the Company but it is held by more than 1 person, the provisions of this constitution as to general meetings apply as if each holder were a separate Member of the Company.

18 Circulating resolutions of Members

Circulating resolutions – more than 1 Member

- (a) This rule 18 applies to resolutions which the Act, or this constitution, requires or permits to be passed at a general meeting, except a resolution under section 329 of the Act to remove an Auditor.
- (b) The Company may pass a resolution without a general meeting being held if all the Members entitled to vote on the resolution sign a document containing a statement that they are in favour of the resolution set out in the document. If a share is held jointly, each of the joint Members must sign.
- (c) Separate copies of a document may be used for signing by Members if the wording of the resolution and statement is identical in each copy.
- (d) The resolution is passed when the last Member signs.
- (e) If the Company receives by facsimile or electronic transmission a copy of a document referred to in this rule 18, it is entitled to assume that the copy is a true copy.

19 Matters requiring unanimous resolution of Members

19.1 Amending the constitution

- (a) Any amendment to this constitution can only be made by Special Resolution of the Members in general meeting.
- (b) Any amendment to the constitution pursuant to rule 19.1(a) takes effect on the date on which the resolution is passed unless otherwise specified in the resolution.

19.2 Appointment of Controller

Any appointment of a Controller by the Company can only be made by Special Resolution of the Members in general meeting.

19.3 Merger with another company

Any proposal to merge the Company with another corporation can only be undertaken after Special Resolution of the Members in general meeting approving the terms of such a proposal.

19.4 Change of name

The Company can only change its name after Special Resolution of the Members in general meeting approving the change of name.

20 Voting at meetings of Members

20.1 How many votes a Member has

- (a) At a meeting of Members (subject to any rights or restrictions attached to any class of shares):
 - (i) on a show of hands, each Member has 1 vote; and
 - (ii) on a poll, each Member has 1 vote for each share the Member holds.
- (b) The vote may be exercised either in person, by proxy or by body corporate Representative.
- (c) When a Member appoints 2 proxies, the appointment must specify the proportion of the Member's voting rights which each proxy is entitled to represent. If the appointment does not specify the proportion or number of Member's votes, each proxy may exercise half the votes. However, neither proxy may vote on a show of hands.
- (d) Where a person is entitled to vote in more than 1 capacity (Representative or proxy) in respect of the same share, that person is only entitled to 1 vote.

20.2 Restriction on voting for unpaid calls

A Member is not entitled to vote at a general meeting in respect of shares on which any calls or other sums presently payable are unpaid.

20.3 Jointly held shares

- (a) Any 1 of the joint holders may vote at any meeting of the company, either:
 - (i) personally; or
 - (ii) by a properly authorised Representative; or

- (iii) proxy in respect of the shares as if that joint holder was solely entitled to the shares.
- (b) If a share is held jointly and more than 1 Member votes in respect of that share, only the vote of the person named in rule 3.24(a)(v) counts.
- (c) Rule 20.3(a) applies whether the vote is cast in person or by proxy.
- (d) Several executors or administrators of a deceased Member are treated, for the purposes of rule 20.3(a), as joint holders.

20.4 Objections to right to vote

- (a) A challenge to a right to vote at a meeting of Members:
 - (i) may only be made at the meeting; and
 - (ii) must be determined by the chair, whose decision is final.
- (b) A vote that is not disallowed following the challenge is valid for all purposes.

20.5 Voting carried out by show of hands

- (a) A resolution put to the vote at a meeting of the Company's Members must be decided on a show of hands unless a poll is demanded.
- (b) On a show of hands, the chairperson's declaration that the resolution is carried (or not) is conclusive evidence of the result. Neither the chairperson nor the minutes need to state the number or proportion of the votes recorded in favour or against.

20.6 A poll may be demanded

- (a) A poll may be demanded on any resolution at a general meeting by:
 - (i) the chairperson in his or her discretion; or
 - (ii) a Member or Members in accordance with the Act.
- (b) The relevant party in rule 20.6(a) may demand a poll:
 - (i) before a vote is taken;
 - (ii) before the voting results on a show of hands are declared; or
 - (iii) immediately after the voting results on a show of hands are declared.
- (c) A demand for a poll may be withdrawn.

20.7 When and how polls must be taken

- (a) A poll demanded on a matter must be taken when, and in the manner, the chair directs, subject to rule 20.7(b).
- (b) A poll on the election of a chair or on the question of an adjournment must be taken immediately.
- (c) The demand for a poll does not prevent the continuance of a meeting for the conduct of any business other than the question on which a poll has been demanded.

20.8 Voting rights under transmission rule

A person entitled under rule 4.7 to any shares may not vote at a meeting or adjourned meeting in respect of the shares unless:

- (a) at least 48 hours before the time of holding the meeting or adjourned meeting, the Company receives documentation of entitlement which satisfies the chair of the meeting or adjourned meeting of the entitlement at its registered office; or
- (b) the Directors have previously admitted the person's right to vote at the meeting in respect of the shares.

21 Proxies, attorneys and body corporate Representatives

21.1 Who can appoint and be a proxy

- (a) A Member who is entitled to vote at a general meeting of the Company may appoint not more than 2 proxies to attend and vote at the meeting on the Member's behalf.
- (b) A proxy need not be a Member.

21.2 Validity of appointment

- (a) An appointment of a proxy is valid if it is signed by the Member making the appointment or otherwise electronically authenticated and contains the information required by section 250A(1) of the Act. The Directors may determine that an appointment of a proxy is valid even if it only contains some of the information required by section 250A(1) of the Act.
- (b) If a share is held jointly, an appointment of proxy may be signed by any 1 of the joint holders, but if the Company receives more than 1 appointment for the same share:
 - (i) an appointment signed by all the joint holders is accepted in preference to an appointment signed by the Member whose

- name appears first in the Register or by any other Member holding the share jointly; and
- (ii) subject to rule 21.2(b)(i) an appointment signed by the Member whose name appears first in the Register is accepted in preference to an appointment signed by any other Member or Members holding the share jointly.
- (c) For the purposes of rule 21.2(a), an appointment received at an electronic address will be taken to be signed by a Member if the appointment:
- (i) sets out a personal identification code allocated by the Company to the Member; or
 - (ii) has been verified in another manner approved by the Directors.
- (d) The Company may send a proxy appointment form to Members in a form which has been approved by the Directors or by the chairperson and the Managing Director.
- (e) A proxy's appointment is valid at an adjourned general meeting.
- (f) Unless otherwise provided for in the proxy's appointment or any instrument appointing an attorney, the appointment of the proxy or attorney will be taken to confer authority:
- (i) to vote on:
 - (A) any amendment moved to the proposed resolutions and on any motion that the proposed resolutions not be put or any similar motion; and
 - (B) any procedural motion, including any motion to elect the chairperson, to vacate the chair or to adjourn the general meeting,
 - (ii) even though the appointment may specify the way the proxy or attorney is to vote on a particular resolution; and
 - (iii) to vote on any motion before the general meeting whether or not the motion is referred to in the appointment.

21.3 How a proxy may vote

- (a) If a Member appoints 1 proxy, that proxy may, subject to the Act, vote on a show of hands.
- (b) If a Member appoints 2 proxies, those proxies must vote subject to rule 20.1(c).

- (c) A proxy may demand or join in demanding a poll.
- (d) A proxy may vote or abstain as he or she chooses except where the appointment of the proxy directs the way the proxy is to vote on a particular resolution and, if it does, then:
 - (i) on a show of hands, the proxy:
 - (A) need not vote, but if the proxy does so, the proxy must vote in the way directed; or
 - (B) must not vote if the proxy has 2 or more appointments that specify different ways to vote on the resolution; and
 - (ii) on a poll, if the proxy is:
 - (A) the chairperson, the proxy must vote in the way directed; or
 - (B) not the chairperson, the proxy need not vote on a poll, but if the proxy does so the proxy must vote in the way directed.

21.4 Proxy is blank

If a proxy appointment is signed by a Member but does not name the proxy or proxies in whose favour it is given, the chairperson may either act as proxy or complete the proxy appointment by inserting the name or names of 1 or more Directors or the Secretary (if applicable).

21.5 Receipt of proxy documents, powers of attorney or other authority

- (a) A Member may appoint a proxy or attorney for all general meetings or for any number of general meetings or for a particular purpose.
- (b) Subject to rule 21.5(d), the Company must receive the appointment of a proxy or attorney at least 48 hours (unless reduced in the notice of meeting to which the appointment relates) before the general meeting (or the resumption of an adjourned general meeting) at which the appointee is to attend and vote.
- (c) If the appointment purports to be executed under a power of attorney or other authority, the Company must receive the original document or a certified copy of it at least 48 hours (unless reduced in the notice of meeting to which the appointment relates) before the general meeting (or the resumption of an adjourned general meeting).
- (d) The Company receives an appointment of a proxy and any power of attorney or other authority under which it was executed when they are received at:
 - (i) the Company's registered office;

- (ii) a facsimile number at the Company's registered office; or
- (iii) a place, facsimile number or electronic address specified for the purpose in the notice of general meeting.

21.6 Validity of proxy vote

- (a) A proxy who is not entitled to vote on a resolution as a Member may vote as a proxy for another Member who can vote if the appointment specifies the way the proxy is to vote on the resolution and the proxy votes that way.
- (b) Unless the Company receives written notice of 1 of the following matters before the start or resumption of the meeting at which the proxy votes, a vote cast by the proxy will be valid even if:
 - (i) the appointing Member dies;
 - (ii) the Member is mentally incapacitated;
 - (iii) the Member revokes the proxy's appointment;
 - (iv) the Member revokes the authority under which the proxy was appointed by a third party; or
 - (v) the Member transfers the share in respect of which the proxy was given, before the proxy votes.
- (c) The attendance and participation of the appointing Member at a meeting does not revoke a proxy unless the appointing Member actually votes at the meeting on a resolution for which the proxy is proposed to be used.

21.7 Body corporate Member Representative

- (a) A body corporate Member may appoint an individual as a Representative to exercise all or any of the powers the body corporate Member may exercise:
 - (i) at meetings of the Company's Members;
 - (ii) at meetings of creditors or debenture holders;
 - (iii) relating to resolutions to be passed without meetings; or
 - (iv) in the capacity of a Member's proxy appointed under rule 21.1.

The appointment may be a standing one.

- (b) A body corporate Member may appoint more than 1 Representative but only 1 Representative may exercise the body corporate's powers at

any one time.

- (c) Unless otherwise specified in the appointment, the Representative may exercise, on the body corporate Member's behalf, all of the powers that the body corporate could exercise at a meeting or in voting on a resolution.
- (d) The appointment under this rule 21.7 may set out restrictions on the Representative's powers. If the appointment is to be by reference to a position held, the appointment must identify the position.

22 Corporate secretarial matters

22.1 Secretary

The Company may (but need not) have a Secretary.

22.2 Appointment of Secretary

- (a) If the Directors appoint a Secretary it must be in accordance with the Act.
- (b) The Directors may appoint a person as an acting Secretary or as a temporary substitute for a Secretary.

22.3 Terms of office of Secretary

A Secretary of the Company holds office on the conditions that the Directors determine (including as to remuneration).

22.4 Minutes to be kept

- (a) The Directors must keep minute books in which they record within 1 Month:
 - (i) proceedings and resolutions of meetings of the Company's:
 - (A) Members; and
 - (B) Directors (including meetings of a committee of Directors); and
 - (ii) circulating resolutions passed without a meeting by the Company's:
 - (A) Members; and
 - (B) Directors.

- (b) The Directors must ensure that minutes of a meeting are signed within a reasonable time after the meeting by either:
 - (i) the chair of the meeting; or
 - (ii) the chair of the next meeting.
- (c) The Directors must ensure that minutes of the passing of a resolution without a meeting are signed by a Director within a reasonable time after the resolution is passed.
- (d) Without limiting this rule 22.4, the Directors must record in the minute books:
 - (i) all appointments of officers;
 - (ii) the names of the Directors and Alternate Directors present at all meetings of Directors and the Company;
 - (iii) in the case of a technology meeting, the method by which the meeting was held;
 - (iv) all orders, resolutions and proceedings of:
 - (A) general meetings;
 - (B) meetings of the Directors; and
 - (C) committees of Directors;
 - (v) proxy votes exercisable and exercised in respect of each resolution at a meeting;
 - (vi) each notice and standing notice given by a Director of a material personal interest in a matter that relates to the affairs of the Company; and
 - (vii) all other matters required by the Act to be recorded in the minute books.

22.5 Rights of inspection and access

- (a) Directors have the rights of access to the Company books under section 198F of the Act.
- (b) A Member does not have the right to inspect any document of the Company (other than the minute books for the meetings and any resolutions of its Members) except as:
 - (i) provided by law; or

- (ii) authorised by the:
 - (A) Directors; or
 - (B) Company in a general meeting.

22.6 Common seal

- (a) The Company may, but need not, have a common seal.
- (b) The Company may have a duplicate common seal. It must be a copy of the common seal with the words duplicate seal, share seal or certificate seal added.
- (c) If the Company has a common seal the Directors must provide for its safe custody.
- (d) The common seal must not be fixed to any document except by the authority of a resolution of the Directors or of a committee of the Directors duly authorised by the Directors.
- (e) The Company executes a document with its common seal if the fixing of the seal is witnessed by:
 - (i) a Director and a Secretary of the Company; or
 - (ii) two Directors of the Company,and the form of execution complies with rule 22.9.

22.7 Execution of documents without common seal

The Company may execute a document without using a common seal if the document is signed by:

- (a) a Director and a Secretary of the Company; or
- (b) two Directors of the Company, and the form of execution complies with rule 22.9.

22.8 Execution of document as a deed

The Company may execute a document as a deed if the document is expressed to be executed as a deed and is executed in accordance with rule 22.6 or rule 22.7.

22.9 Execution – general

- (a) The same person may not sign in the dual capacities of Director and Secretary.

- (b) A Director may sign any document as Director, with or without the common seal, although the document relates to a contract, arrangement, dealing or other transaction in which he or she is interested and, despite his or her interest, his or her signature complies with the requirements of this constitution as to execution.
- (c) Neither rule 22.6 or rule 22.7 limit the ways in which the Directors may authorise documents (including deeds) to be executed on behalf of the Company.

22.10 Confidential information

No non-Director Member is entitled to require or receive any information concerning the business, trading or customers of the Company or any trade secret, secret process or other confidential information of or used by the Company, except as provided by the Act.

23 Indemnity and insurance

23.1 Indemnity

The Company indemnifies any current or former Director or Secretary (if applicable) of the Company out of the property of the Company against:

- (a) any liability incurred by the person in that capacity (except a liability for legal costs); and
- (b) legal costs incurred in defending or resisting (or otherwise in connection with) proceedings, whether civil or criminal or of an administrative or investigatory nature, in which the person becomes involved because of that capacity, except to the extent that:
- (c) the Company is forbidden by law to indemnify the person against the liability or legal costs; or
- (d) an indemnity by the Company of the person against the liability or legal costs, if given, would be made void by law.

23.2 Insurance

The Company may pay or agree to pay whether directly or through an interposed entity, a premium for a contract insuring a person who is or has been a Director or Secretary (if applicable) of the Company against liability incurred by the person in that capacity, including a liability for legal costs, unless:

- (a) the Company is forbidden by law to pay or agree to pay the premium; or

- (b) the contract would, if the Company paid the premium, be made void by law.

24 Winding up

Members' rights on distribution of assets

- (a) If the Company is wound up, the liquidator may, with the sanction of a Special Resolution, divide among the Members in kind the whole or any part of the property of the Company and may:
 - (i) for that purpose, set the value the liquidator considers fair upon any property to be so divided; and
 - (ii) determine how the division is to be carried out as between the Members or different classes of Members.
- (b) The liquidator may, with the sanction of a Special Resolution, vest the whole or any part of the property referred to in rule 24.1(a) in trustees upon trusts for the benefit of the contributories as the liquidator thinks fit, but so that no Member is compelled to accept any shares or other securities on which there is any liability.
- (c) Rules 22.1(a) and 22.1(b) do not prejudice or affect the rights of a Member holding shares issued on special terms and conditions.

25 Notices

25.1 Notices other than notices of meeting

- (a) Any notice by the Company to a Member, including a notice in connection with a call (under rule 3.10) or forfeiture (under rule 3.14), may be given in the same way as a notice of meeting may be given under rule 15.6, and the time the notice is taken to be given is the same as provided in the case of a notice of meeting by rule 16.7.
- (b) The references in rule 15.5(b).1 to notices to persons entitled to a share in consequence of the death or bankruptcy of a Member, and in rule 16.6(a)(v) to notices to joint holders of a share apply to any notice given by the Company.

26 Inadvertent omissions

Formalities omitted

- (a) If some formality required by this constitution is inadvertently omitted or is not carried out, the omission does not invalidate anything, including any resolution, which but for the omission would have been valid unless it is

proved to the satisfaction of the Directors that the omission has directly prejudiced any Member financially.

- (b) The decision of the Directors is final and binding on all Members.

27 Definitions and interpretation

27.1 Definitions

In this constitution, unless the context requires otherwise:

Act means the Corporations Act 2001 (Cth).

ASIC means the Australian Securities and Investment Commission.

Auditor means any person appointed for the time being to perform the duties of an auditor of the Company.

Business Day means a day that is not a Saturday, a Sunday or a public holiday or bank holiday in the place where the Company has its registered office.

Call includes an instalment of a call.

Company means Blackbox Tech Pty Ltd ACN 664 919 975.

Controller means any “administrator”, “controller” or “liquidator” as defined in the Act.

Director means a person holding office as a Director of the Company.

Directors means some or all Directors acting as a board.

Directors Register means the register of Directors to be kept under Part 2D.3 of the Act.

Managing Director means a director appointed under rule 12.

Member means any person entered in the Register as a holder of shares in the Company for the time being.

Ordinary Resolution or **Resolution** means a resolution passed by over 50% of the votes validly cast. Unless a resolution is specified to be a Special Resolution it is taken to be an Ordinary Resolution.

Person includes an entity or group that is not a legal entity.

Register means the register of Members to be kept under Part 2C.1 of the Act.

Related body corporate means what it means in the Act.

Representative means a person authorised in accordance with section 250D of the Act.

Secretary means any person appointed to perform the duties of secretary of the Company and any person appointed to act temporarily as secretary.

Special Resolution means a resolution that has been notified in accordance with the Act and passed by at least 75% of the votes validly cast by Members entitled to vote on the resolution or the Directors present at a Directors Meeting.

Threshold Shareholding means 20% of the total ordinary shares issued in the Company.

27.2 Interpretation

In this constitution, unless the context requires otherwise:

- (a) words in the singular include the plural and vice versa;
- (b) any gender includes the other genders;
- (c) if a word or phrase is defined its other grammatical forms have corresponding meanings;
- (d) 'includes' means includes without limitation;
- (e) an expression in this constitution has the same meaning as in the Act; and
- (f) if an expression is given different meanings for the purposes of different provisions of the Act, the expression has, in a provision of this constitution that deals with a matter dealt with by a particular provision of the Act, the same meaning as in that provision of the Act; and
- (g) headings do not affect the interpretation of this constitution.

Schedule 1 Classes of Shares

Item 1: Classes of shares

Class ORD Shares

Item 2: Rights and restrictions attached to shares

Share Class	Rights and restrictions
Class A	• No right to receive notice of any general meeting of the company. • No right to vote at any general meeting of the company. • Dividends as determined. • Right to return of capital and to participate in distribution of surplus assets on winding up.
Class B	• Right to receive notice of any general meeting of the company. • Voting rights as set out in rule 20.5, subject to rules 20.6 to 20.8. • No right to receive dividends as determined. • Right to return of capital and to participate in distribution of surplus assets on winding up.
Class C	• Right to receive notice of any general meeting of the company. • Voting rights as set out in rule 20.5, subject to rules 20.6 to 20.8. • Dividends as determined. • Right to return of capital but no right to participate in distribution on surplus assets on winding up.
Class D	• No right to receive notice of any general meeting of the company. • No right to vote at any general meeting of the company. • No right to receive dividends as determined. • Right to return of capital and to participate in distribution of surplus assets on winding up.
Class E	• No right to receive notice of any general meeting of the company. • No right to vote at any general meeting of the company. • Dividends as determined. • Right to return of capital but no right to participate in distribution of surplus assets on winding up.
Class F	• Right to receive notice of any general meeting of the company. • Rights and restrictions • Voting rights as set out in rule 20.5, subject to rules 20.6 to 20.8. • No right to receive dividends as determined. • Right to return of capital but no right to participate in distribution of surplus assets on winding up.

Share Class	Rights and restrictions
Preference shares A (non-voting, non-cumulative)	- No right to receive notices nor to vote at general meetings of the company. - Right to fixed non-cumulative dividend at a rate per annum determined by the directors at the date of issue, the cumulative dividend (plus arrears and interest) to rank in priority to dividends to be paid on all other shares of the company on issue. - On a winding up (and on a return of capital) right to a return of capital (plus dividends which have not been paid) but not to participate in any distribution of surplus assets, in priority to all other shares of the company on issue.
Preference shares B (voting, non-cumulative)	- To receive notices and to vote at general meetings of the company as if they were holders of ordinary shares, but only in one or more of the following circumstances: - During a period in which a dividend or part of a dividend in respect of the shares is in arrears. - On a proposal for a reduction in capital. - On a resolution to approve the terms of a buy back agreement. - On a proposal that affects rights attached to the shares. - On a proposal to wind up the company. - On a proposal for the disposal of all the company's business, property and undertaking. - Right to a fixed non-cumulative dividend at a rate per annum determined by the directors at the date of issue, the cumulative dividend (plus arrears and interest) to rank in priority to dividends to be paid on all other shares of the company on issue. - On a winding up (and on a return of capital) right to a return of capital (plus dividends which have not been paid) but not to participate in any distribution of surplus assets, in priority to all other shares of the company on issue.
Preference shares C (voting, cumulative)	- To receive notices and to vote at general meetings of the company as if they were holders of ordinary shares, but only in one or more of the following circumstances: - During a period in which a dividend or part of a dividend in respect of the shares is in arrears. - On a proposal for a reduction in capital. - On a resolution to approve the terms of a buy back agreement. - On a proposal that affects rights attached to the shares. - On a proposal to wind up the company. - On a proposal for the disposal of all the Company's business, property and undertaking. - Right to a fixed cumulative dividend at a rate per annum determined by the directors at the date of issue, the cumulative dividend (plus arrears and interest) to rank in priority to dividends to be paid on all other shares of the company on issue. - On a winding up (and on a return of capital) right to a return of capital (plus dividends which have not been paid) but not to participate in any distribution of surplus assets, in priority to all other shares of the company on issue.
Preference shares D (non-voting, cumulative)	- No right receive notices nor to vote at general meetings of the company. - Right to a fixed cumulative dividend at a rate per annum determined by the directors at the date of issue, the cumulative dividend (plus arrears and interest) to rank in priority to dividends to be paid on all other shares of the company on issue. - On a winding up (and on a return of capital) right to a return of capital (plus dividends which have not been paid) but not to participate in any distribution of surplus assets, in priority to all other shares of the company on issue.